



Figure 59.5 This trade ended in a loss.

I bought at B. Because I didn't know that price would form the right rim of the scallop on that day, I must have thought that the right rim ended with the peak at A. Price closed above A the day before B, allowing me to enter the stock after an upward breakout from the right rim.

What crummy timing. Why? Because the stock dropped (to D), just like I thought it might.

- Lesson: Sometimes listening to your intuition can prevent a losing trade (like me predicting a downward move).

I was stopped out at 17.50 (C), taking a 13% loss. I don't know when earnings were announced. It could have been a catalyst for the drop to D.

This trade worked as designed. I had a trading plan in place, and a stop-loss order (C) placed just below the bottom of the scallop got me out of a losing position. The stock continued down another 9% (to D) below my sale price over the next two days before moving sideways for a year.

- Lesson: Avoid taking a position in a stock within 3 weeks of an earnings announcement.